

TAX BREATHER



The Union Budget 2024-25 abolishes angel tax, and withdraws 2% equalisation levy



It hikes standard deduction, rejigs slabs for the new income tax regime



Plans afoot to review Income Tax Act, 1961



Simplifies capital gains regime, hikes STT on F&O trades



It promises to rationalise goods and services tax, expand to other sectors



To undertake a review of the customs rate structure over the next six months



“On balance, when this is a Budget for growth and employment generation, it was thought fit that we remove this irritant (angel tax)”

SANJAY MALHOTRA
REVENUE SECRETARY

key ‘rethinks’ in the Budget: on jobs and skills; on political priorities; on middle class taxes; on corporate support; on reforms; and on medium-term fiscal rules,” they said in a report.

FOCUS ON YOUTH

The biggest focus of the Budget has been on employment and skilling. Job creation has not kept pace with the rising workforce due to factors including lower private investments, Covid-related shocks as well as issues of employability.

After weeks of inter-ministerial deliberations and consultations with stakeholders, the Budget announced five schemes and initiatives as part of the Prime Minister’s package on employment and skilling with a massive central outlay of ₹2 lakh crore that is expected to facilitate employment, skilling and other opportunities for 41 million youth over a five-year period.

In her Budget speech, Sitharaman said that three of the schemes have employment-linked incentives (ELI) and are based on enrol-

ment in the Employees’ Provident Fund Organisation (EPFO), focus on recognition of first-time employees, and support to employees and employers.

Lohit Bhatia, President of Workforce Management at staffing company Qness Corp, notes that the big differentiator in this Budget in terms of job creation is the focus on formal employment generation. “Formal employment not only gives a regular wage but also a degree of social security by being enrolled in the EPFO,” he points out.

The Budget has also taken care of challenges around housing and childcare for women workers by announcing setting up of working women hostels in collaboration with industry and establishing crèches. Schemes for skilling, setting up of industrial parks and dormitory-type housing for industrial workers are also expected to give a boost to job creation.

The finer details and nuances of these schemes are expected in the coming months after further stakeholder consultations once the Budget and Finance Act, 2024, are approved by Parliament. For now, the Budget has allocated ₹10,000 crore to the labour ministry and ₹2,000 crore to the Ministry of Corporate Affairs for these schemes, for this fiscal.

◀ **FINANCE MINISTER NIRMALA SITHARAM WITH HER TEAM BEFORE PRESENTING THE UNION BUDGET**

